

HOUSE No. 2742

The Commonwealth of Massachusetts

PRESENTED BY:

James Arciero

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to cost of living adjustments for retired public employees of the Commonwealth.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>James Arciero</i>	<i>2nd Middlesex</i>	<i>1/17/2025</i>
<i>Dennis C. Gallagher</i>	<i>8th Plymouth</i>	<i>1/17/2025</i>
<i>James C. Arena-DeRosa</i>	<i>8th Middlesex</i>	<i>9/22/2025</i>
<i>Colleen M. Garry</i>	<i>36th Middlesex</i>	<i>1/25/2025</i>
<i>Christopher Hendricks</i>	<i>11th Bristol</i>	<i>1/23/2025</i>

HOUSE No. 2742

By Representative Arciero of Westford, a petition (accompanied by bill, House, No. 2742) of James Arciero and others relative to cost of living adjustments for retired public employees of the Commonwealth. Public Service.

[SIMILAR MATTER FILED IN PREVIOUS SESSION
SEE HOUSE, NO. 2427 OF 2023-2024.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to cost of living adjustments for retired public employees of the Commonwealth.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 22D of said Chapter 32, as appearing in the 2010 Official Edition,
2 is amended by inserting in line 32 after the word “approve” the following words:—provided
3 further, however, that in the event that a system has accepted the provisions of paragraph (j) of
4 Section 103, the funding schedule, and any updates thereto, shall be designed to reduce the
5 unfunded actuarial liability of said system to zero as of such year, that may be subsequent to June
6 30, 2028, as the commission shall approve.

7 SECTION 2. Paragraph (c) of Section 102 of said Chapter 32, is amended by striking out
8 in each instance the dollar amount “\$13,000” and inserting in place thereof the following dollar
9 amount:—\$16,000.

SECTION 3. Section 103 of said Chapter 32 is amended by inserting the following new paragraph:—

(j) Notwithstanding the provisions of paragraph (a) to the contrary, the board of any system may, by accepting the provisions of this paragraph as hereinafter provided, elect to pay a cost-of-living adjustment on a base amount greater than \$16,000. Acceptance of this paragraph shall be by a majority vote of the board of such system, subject to the approval of the legislative body. For the purpose of this paragraph, “legislative body” shall mean, the city council in accordance with its charter, in the case of a town, the town meeting, in the case of a county or region, the county or regional retirement board advisory council, in the case of a district, the district members, and, in the case of an authority, the governing body. Acceptance of this paragraph shall be deemed to have occurred upon the filing of the certification of such vote with the commission. A decision to accept the provisions of this paragraph may not be revoked.

SECTION 4: Subdivision (3) of section 21 of Chapter 32 is hereby amended by striking out paragraph (f) and inserting in place thereof the following paragraph:

(f) the preparation and filing with the general court, of a report, annually, in the month of January, on the computation of any increase in the United States Consumer Price Index and the percentage thereof in the previous year by the Commissioner of Social Security, including a statement that such increase in said Consumer Price Index during the last previous year requires a cost of living increase in the retirement allowances, pensions or annuities of eligible members, as defined in sections 102 and 103, equal to the percentage increase in the Consumer Price Index or 3 per cent, whichever is greater.

SECTION 5: Section 102 of Chapter 32 is hereby amended by striking out paragraph (a) and inserting in place thereof the following paragraph:

(a) The actuary in the commission shall annually in the month of January file with the clerk of the house of representatives the report prepared in accordance with paragraph (f) of subdivision (3) of section 21. The retirement allowance, pension or annuity of every member of the state employees' system and the teachers' retirement system who has received a retirement allowance, pension or annuity on June 30 of the preceding fiscal year, or of a spouse or other beneficiary of such member who has received a retirement allowance, pension or annuity on June 30 of the prior fiscal year, shall be increased by the percentage as determined by the actuary's report; provided that notwithstanding the actuary's report the cost of living increase shall be at least three percent. The cost of living adjustment shall be applied each July 1. Said cost of living increase shall be funded from the investment income account of the state employees' and state teachers' systems. The sum of the dollar amount of each cost of living increase, together with the amount of retirement allowance, pension or annuity to which the cost of living per cent factor is applied, shall become the fixed retirement allowance, pension or annuity for all future purposes, including the application of subsequent cost of living adjustments in future years.

SECTION 8. Section 102 of Chapter 32 is hereby amended by adding after paragraph (c) the following clauses:

(i) In any case as of June 30, 2021 but prior to June 30, 2024 where such former employee, spouse, or other beneficiary is receiving an annual retirement allowance, pension or annuity which is eighty-five percent of the maximum social security benefit or more exclusive of

53 additional annuity obtained by special purchase under paragraph (g) of subdivision (1) of section
54 22 or any similar law, the cost of living adjustment shall be in an amount determined by applying
55 the per centum of change determined pursuant to paragraph (a) to the sum of eighty-five percent
56 of the maximum social security benefit. Whenever a cost of living adjustment is granted pursuant
57 to said paragraph (a), the dollar amount of such increase as determined in said paragraph (a) shall
58 be added to each retirement allowance, pension or annuity which is in excess of said maximum
59 base amount. The sum of the dollar amount of such cost of living adjustments, together with the
60 amount of retirement allowance, pension or annuity to which the cost of living per centum factor
61 is applied and any amounts in excess of said eighty-five percent of the maximum social security
62 benefit shall become the fixed retirement allowance, pension or annuity for all future purposes
63 including the application of subsequent cost of living adjustments in future years; provided,
64 however, that the limitations of this paragraph shall continue to apply.

65 (ii) In any case as of June 30, 2024 but prior to June 30, 2028 where such former
66 employee, spouse, or other beneficiary is receiving an annual retirement allowance, pension or
67 annuity which is ninety-five percent of the maximum social security benefit or more exclusive of
68 additional annuity obtained by special purchase under paragraph (g) of subdivision (1) of section
69 22 or any similar law, the cost of living adjustment shall be in an amount determined by applying
70 the per centum of change determined pursuant to paragraph (a) to the sum of ninety-five percent
71 of the maximum social security benefit. Whenever a cost of living adjustment is granted pursuant
72 to said paragraph (a), the dollar amount of such increase as determined in said paragraph (a) shall
73 be added to each retirement allowance, pension or annuity which is in excess of said maximum
74 base amount. The sum of the dollar amount of such cost of living adjustments, together with the
75 amount of retirement allowance, pension or annuity to which the cost of living per centum factor

is applied and any amounts in excess of said ninety-five percent of the maximum social security benefit shall become the fixed retirement allowance, pension or annuity for all future purposes including the application of subsequent cost of living adjustments in future years; provided, however, that the limitations of this paragraph shall continue to apply.

(iii) In any case as of June 30, 2028 where such former employee, spouse, or other beneficiary is receiving an annual retirement allowance, pension or annuity which is one hundred percent of the maximum social security benefit or more exclusive of additional annuity obtained by special purchase under paragraph (g) of subdivision (1) of section 22 or any similar law, the cost of living adjustment shall be in an amount determined by applying the per centum of change determined pursuant to paragraph (a) to the sum of one hundred percent of the maximum social security benefit. Whenever a cost of living adjustment is granted pursuant to said paragraph (a), the dollar amount of such increase as determined in said paragraph (a) shall be added to each retirement allowance, pension or annuity which is in excess of said maximum base amount. The sum of the dollar amount of such cost of living adjustments, together with the amount of retirement allowance, pension or annuity to which the cost of living per centum factor is applied and any amounts in excess of said one hundred percent of the maximum social security benefit shall become the fixed retirement allowance, pension or annuity for all future purposes including the application of subsequent cost of living adjustments in future years; provided, however, that the limitations of this paragraph shall continue to apply.